

SECURITIES AND EXCHANGE BOARD OF INDIA (SEBI) Department of Risk and Market Regulation, Mumbai Ref.No. SEBI/DL/2026-88 Date: June 28, 2026

To: All Registered FinTech Platforms and Scheduled Banks Subject: Emergency Mandate on Digital Lending Algorithms and Customer Data Privacy

In response to the recent market volatility involving algorithmic lending platforms, SEBI mandates the following corrective actions across all digital lending operations. These directives are active immediately.

1. Algorithmic Bias Audits: The Risk Management division must immediately halt all automated loan approvals exceeding ₹50,00,000. An emergency audit of the AI-scoring algorithm must be conducted to ensure there is no demographic bias. This report is due within 7 days.

2. Data Privacy Overhaul: The Legal department is required to draft an updated 'Customer Data Consent Form' that complies with the new Q3 Data Protection regulations. All active users must be prompted to sign this new agreement before making any new trades or loan applications.

3. API Rate Limiting Implementation: To prevent further DDoS attacks on our trading gateways, the IT Security team must implement strict rate-limiting on all third-party vendor APIs. Restrict external calls to 500 requests per minute and upgrade the firewall to block unregistered foreign IP addresses.

4. Whistleblower Portal Activation: The Compliance team must launch a secure, anonymous whistleblower portal on the internal employee dashboard for reporting unethical algorithmic trading practices.

Failure to execute these items will result in immediate suspension of digital lending licenses.

Yours faithfully, Chief Regulatory Officer